



2025:DHC:601



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* IN THE HIGH COURT OF DELHI AT NEW DELHI

Date of Decision: 28.01.2025+ **RC.REV. 21/2016, CM APPLs. 15773/2024, 51652/2024**

MOHD ZAKIR & ORS

.....Petitioners

Through: Mr. Jai Sahai Endlaw, Mr. Nitin Kumar, Mr. J.J Sharma, Mr. Deepa Raj Pathak, Ms. Mansi Jain and Ms. Shalini, Advocates

versus

CHANDU LAL

.....Respondent

Through: Mr. Sandeep Singh Nainwal, Advocate

CORAM:**HON'BLE MS. JUSTICE TARA VITASTA GANJU****TARA VITASTA GANJU, J.: (Oral)****CM APPL. 51652/2024***[Application for affixation of use and occupation charges]*

1. Notice in this Application was issued by this Court on 05.12.2024 when the Petitioner was directed to file Reply within three weeks. No Reply has been filed by the Petitioners/tenants till today.
2. Learned Counsel appearing on behalf of the Petitioners/tenants requests for some additional time to file the Reply.
3. Learned Counsel appearing on behalf of the Respondent/landlord objects to the grant of additional time. He submits that after an interim protection was granted to the Petitioners/tenants on 01.04.2016 and thereafter was confirmed till the disposal of the present Petition by a Coordinate Bench of this Court on 20.04.2017, no user and occupation charges are being paid by the Petitioners/tenants.



4. Learned Counsel appearing on behalf of the Respondent/landlord submits that the premises is one shop on the ground floor in property no. D-137, Gulmohar Park Road, Gautam Nagar, New Delhi [hereinafter referred to as “subject premises”] having an area of 9 ft x 18 ft [162 sq. ft.]. He, while relying on the photographs of the subject premises, submits that the subject premises are being used as a butcher shop called as “Bhai Sahab Halal Meat Shop”. He further submits that the subject premises is located within a commercial market.

4.1 Learned Counsel appearing on behalf of the Respondent/landlord further seeks to rely upon a lease deed dated 01.12.2022, which is a lease deed for another shop in the same set of shops i.e., Property No. D-137, Ground Floor, Gautam Nagar, New Delhi, to submit that the rental for the said shop is Rs. 30,000/- per month. He submits that, in his Application, the Respondent/landlord has stated on Affidavit [paragraph 3 of the Application], that the area of the said shop is 19 ft x 11 ft which is approximately 209 sq. ft. Thus, relying on the lease deed dated 01.12.2022, it is the contention of the learned Counsel for the Respondent/landlord that the pro rata rent for the subject premises would come to approximately Rs. 23,247/- per month. It is further contended that the wide road in front of the subject premises makes it easily accessible, which is an added advantage for a trader.

5. Learned Counsel for the Respondent/landlord, on instructions, affirms that the subject premises is a shop on the ground floor and is being run by the Petitioner/tenant called Bhai Sahab Halal Meat Shop. It is also not disputed that the subject premises is located in a commercial market of Gautam Nagar which is adjacent to affluent South Delhi colonies of Niti



Bagh and Gulmohar Park.

6. The only contention raised by the learned Counsel for the Petitioner/tenant is that the Petitioner/tenant has filed an SLP against an order previously passed by this Court and that the matter should be adjourned awaiting the outcome of the SLP. Concededly, however the SLP has yet not been listed before the Court.

7. In matters wherein a tenant endeavours to seek a stay on an eviction order, it is deemed equitable, and reasonable that said tenant be directed by the High Court to provide compensation to the landlord. This compensation serves to counter potential adverse effects suffered by the landlord due to the delay or suspension of the eviction order. This view is articulated by Supreme Court in *Martin & Harris Private Limited and Another v. Rajendra Mehta and Others*¹ while relying on the *Atma Ram Properties (P) Ltd. v. Federal Motors (P) Ltd.*² case and reads as follows:

“17. In Atma Ram Properties (P) Ltd. v. Federal Motors (P) Ltd. [Atma Ram Properties (P) Ltd. v. Federal Motors (P) Ltd., (2005) 1 SCC 705], this Court held that the appellate court does have jurisdiction to put reasonable terms and conditions as would in its opinion be reasonable to compensate the decree-holder for loss occasioned by delay in execution of the decree while granting the stay. The Court relying upon the provisions of the Delhi Rent Control Act, observed that on passing the decree for eviction by a competent court, the tenant is liable to pay mesne profits or compensation for use and occupation of the premises at the same rate at which the landlord would have been able to let out the premises in present and earn the profit if the tenant would have vacated the premises. The Court has explained that because of pendency of the appeal, which may be in continuation of suit, the doctrine of merger does not have effect of postponing the date of termination of tenancy merely because the decree of eviction stands merged in the decree passed by the superior forum at a later date.”

[Emphasis supplied]

¹ (2022) 8 SCC 527

² (2005) 1 SCC 705



7.1 The Supreme Court in *Atma Ram Properties (P) Ltd. v. Federal Motors (P) Ltd.*³, has laid down that once an order for eviction has been passed against a tenant and the tenant continues in possession of the tenanted premises, such tenant is required to pay use and occupation charges to the landlord at the market rate applicable to “like” premises situated in the vicinity, until the disposal of the Petition impugning such order of eviction.

7.2 It has further been held in the *Atma Ram* case that this interim compensation is granted based on the discretion of Court in its judicial wisdom, to offset the detrimental effects of prolonged litigation on landlord. The relevant extract reads as follows:

“9. Robust common sense, common knowledge of human affairs and events gained by judicial experience and judicially noticeable facts, over and above the material available on record — all these provide useful inputs as relevant facts for exercise of discretion while passing an order and formulating the terms to put the parties on. After all, in the words of Chief Justice Chandrachud, speaking for the Constitution Bench in *Olga Tellis v. Bombay Municipal Corpn.* [(1985) 3 SCC 545] : (SCC p. 574, para 35)

“Common sense which is a cluster of life’s experiences, is often more dependable than the rival facts presented by warring litigants.””

[Emphasis supplied]

7.3 A similar view has been taken by the Supreme Court in the cases of *State of Maharashtra and Anr. v. Super Max International Private Limited and Ors.*⁴; *Sumer Corp. v. Vijay Anant Gagan & Ors.*⁵ and *Heera Traders v. Kamla Jain*⁶. It has also been held that in fixing the interim compensation/use and occupation charges, the Court would exercise

³ (2005) 1 SCC 705

⁴ (2009) 9 SCC 772.

⁵ 2022 SCC Online SC 1548.

⁶ 2022 SCC Online SC 220.



restraint and not fix excessive, fanciful or punitive amount. However, the Appellate/Revisional Court while staying an eviction decree can direct payment of such compensation for continued use of the premises and the compensation would be at the same rate of rental at which the landlord would have been able to get if he had let out such premises after they were vacated by the tenant. It has been held that the direction to pay *mesne profits* or use and occupation charges, will depend on the facts and circumstances of each case including the location of the property as well as its nature whether it is a commercial or residential area.

7.4 The Supreme Court has also held that to ascertain user and occupation charges and damages, what is required to be looked into is the size, the area, the location as well as the use that the property is being put for by the tenant.

7.5 In the present case, concededly, the Respondent/landlord has an eviction decree in its favour that has been stayed by this Court. For this delay, the Respondent/landlord is entitled to receive use and occupation charges.

8. It is not disputed that the subject premises are being used for commercial purposes and are of the same area and size as the shop in the lease deed filed by the Respondent/landlord. It is also not disputed the interim protection was granted to the Petitioners/tenants on 01.04.2016 and that he is enjoying the subject premises without paying any user and occupation charges despite the passing of the Eviction Order. Given the location of the subject premises and based on the lease deed placed, this Court deems it apposite to fix user and occupation charges at Rs. 18,000/- per month for the present.

9. Accordingly, without prejudice to the rights and contentions of the



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parties, the following directions are passed:

- (i) The user and occupation charges for the period commencing from 04.01.2016 to 31.03.2020 shall be paid by the Petitioners/tenants at the rate of Rs. 15,000/- per month;
- (ii) The user and occupation charges for the period commencing from 01.04.2020 to 31.03.2022 shall be paid by the Petitioners/tenants at the rate of 14,000/- per month;
- (iii) The user and occupation charges for the period commencing from 01.04.2022 to 31.12.2024 shall be paid by the Petitioners/tenants at the rate of 17,500/- per month;
- (iv) The user and occupation charges from 01.01.2025 onwards, shall be paid by the Petitioners/tenants at the rate of Rs.18,000/- per month, on or before 7th day of each calendar month;
- (v) The user and occupation charges as set out in paragraphs (i), (ii) and (iii) shall be cleared by the Petitioners/tenants in four equal instalments payable on 28.02.2025, 15.04.2025, 31.05.2025 and 15.07.2025;
- (vi) The payment for the month of January, 2025 shall be made by the Petitioners/tenants on or before 03.02.2025.

10. All payments shall be made into the bank account of the Respondent/landlord. The details of the bank account shall be provided by the learned Counsel for the Respondent/landlord to the learned Counsel for the Petitioners/tenants on his email address within three days.

11. It is clarified that the use and occupation charges as affixed hereinabove are subject to the final outcome of the present Petition.

12. The Respondent/landlord shall file an Affidavit within a week stating that in the event of the Petitioners/tenants succeeding, the payments of the



user and occupation charges as directed hereinabove, shall be restored to the Petitioners/tenants.

13. Subject to the payment of user and occupation charges by the Petitioner/tenant, the interim protection granted by this Court on 01.04.2016 shall continue till the next date of hearing. In the event that there is any default in the payment of use and occupation charges on behalf of the Petitioners/tenants, interim protection as granted by this Court on 01.04.2016 shall automatically stand dissolved.

14. The Application is, accordingly, disposed of.

CM APPL. 15773/2024[Application seeking permission]

15. This is an Application filed on behalf of the Petitioners under Section 151 of the Code of Civil Procedure, 1908 *inter alia* praying as under:

“It is therefore respectfully prayed that the Hon'ble Court may kindly be pleased to allow the petitioners to place on record the certified copies of the evidence of respondent Shri Chandulal and his cross examination conducted in another petition on the ground of 14 1 (a) Delhi Rent Control Act pending between the parties and order dated 13.1. 2020 in passed in CM Main 172/2019 in the interest of justice.”

16. Notice in this Application was issued on 14.03.2024, however, no Reply has been filed till today.

17. Learned Counsel appearing on behalf of the Petitioners/tenants submits that these documents are certified copies of other Court proceedings and are being filed for the first time before this Court.

18. A review of these documents however show that what is placed on record appears to be dim photocopies and that the documents pertain to the period when the Eviction Petition was pending before the learned Trial Court and also to the period thereafter.

19. The Petitioners are directed to place on record, the original clear



certified copies of the documents that they seek to rely upon.

20. In the meantime, as a final opportunity, let Reply be filed by the Respondent within four weeks. Rejoinder, if any, be filed before the next date of hearing.

21. This Application shall be considered at the time of final disposal of the matter.

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22. The parties seek and are granted time to place on record a joint convenience compilation in the matter.

23. For this purpose, list before the concerned Registrar on 05.03.2025.

24. The parties seek and are granted time to file their respective updated written synopsis, not exceeding four pages each, at least one week before the next date of hearing, along with the compilation of judgments, if any, they wish to rely upon.

24.1 All judgments sought to be relied upon shall be filed with an index which also sets out the relevant paragraph numbers and the proposition of law that it sets forth.

25. List on 13.05.2025.

TARA VITASTA GANJU, J

JANUARY 28, 2025

g.joshi

Click here to check corrigendum, if any